



PRIVATE AND CONFIDENTIAL

The Children's Investment (TCI) Master Fund – Q1 2006 Report

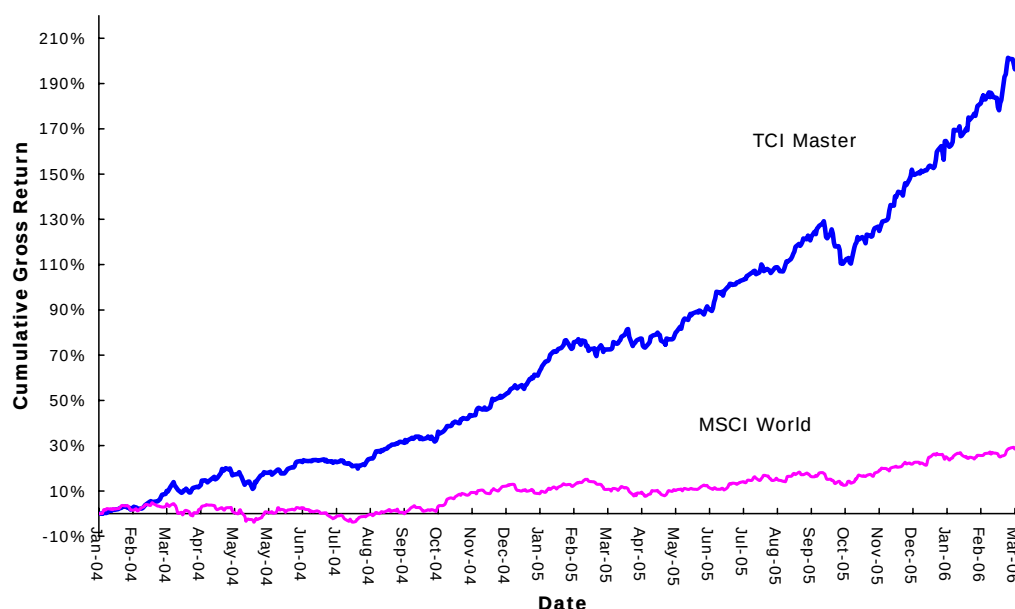
1. Fund Performance

Returns for this period, net of (a) management and accrued incentive fees and (b) monthly and annual accrued charitable donations from the fund, are shown below. Appendix 3 details TCI Master Fund performance since inception.

Period	Master Fund Assets €m	Class A (3yr) \$	Class A (£ yr) €	Class B (5 yr) \$	Class B (5 yr) €	Class C (5 yr) \$	Class C (5 yr) €
Jan 2006	5,781.6	+6.38%	+6.10%	+6.61%	+6.32%		
Feb 2006	6,012.4	+3.97%	+4.15%	+4.12%	+4.05%		
Mar 2006	6,809.2	+3.14%	+2.96%	+3.25%	+3.08%	+3.14%	+2.96%
Q1 2006		+14.07%	+13.77%	+14.61%	+14.03%	+3.14%	+2.96%
Inception Jan 2004		+142.33%	+142.31%	+149.39%	+148.09%	+3.14%	+2.96%

Sources: Citco Fund Services; Bloomberg LP, TCI; Notes: Class C inception was March 1, 2006.

TCI Master (€) & MSCI World (\$) Since Inception



Sources: Citco Fund Services; Bloomberg LP, TCI; Notes: Performance for TCI Master Fund is gross.

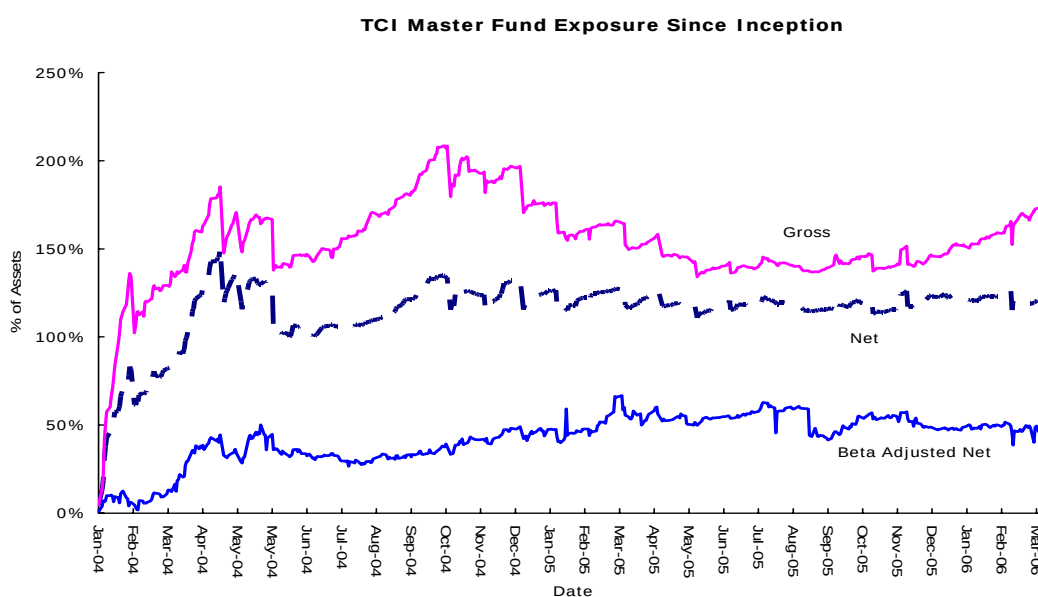
2. Key Fund Data

a. Exposure Summary

Gross and Net exposures were stable during the quarter.

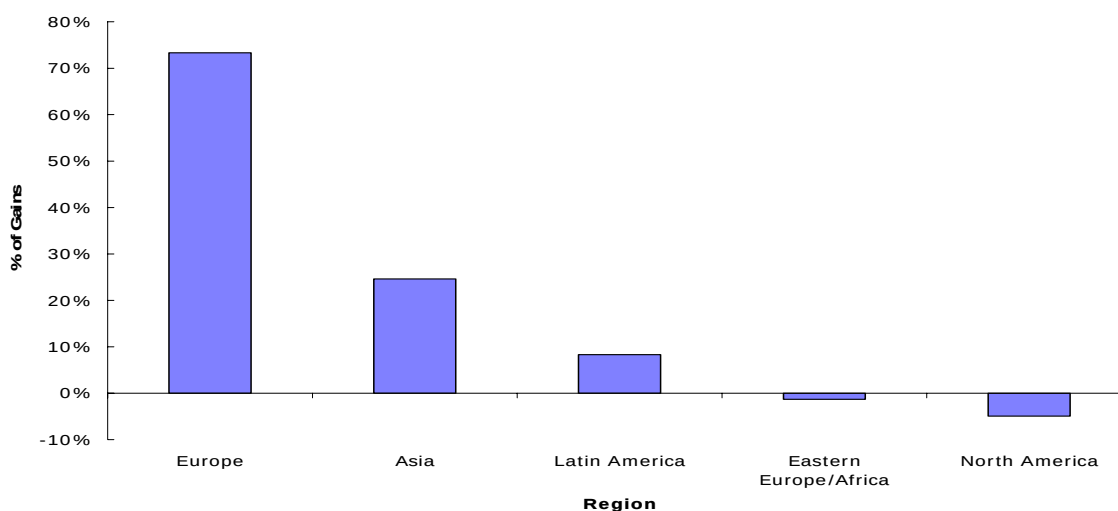
% of Master Fund Net Assets						
Period	Outright Longs	Outright Shorts	Long side Arbitrage and Pairs	Short side Arbitrage and Pairs	Gross	Net
End Jan 2006	116.9%	-2.2%	19.4%	-13.7%	152.2%	120.4%
End Feb 2006	121.3%	-2.3%	21.6%	-17.7%	162.8%	122.9%
End Mar 2006	122.9%	-3.0%	26.4%	-25.3%	177.6%	121.0%

Sources: Citco Fund Services; TCI.



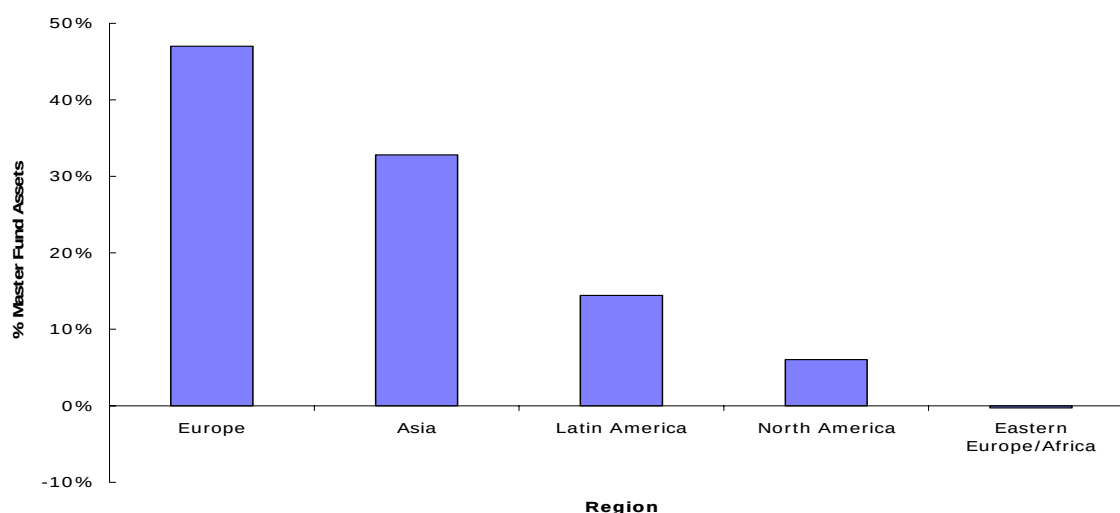
Sources: Citco Fund Services; TCI.

b. Geographic Split of Gains in the Quarter



Sources: Citco Fund Services; TCI. Notes: Geographic Asset Split represented as a percentage of 100.

c. Geographic Portfolio Exposure



Sources: Citco Fund Services; TCI. Notes: Geographic Asset Split represented as a percentage of 100.

During Q1 2006, Europe was the greatest contributor to performance as a region, attributing more than 70% of the quarter's performance. On a regional basis, Europe remained the largest exposure for the portfolio. Please see Appendix 2 for detailed country and sector exposure at quarter-end.

3. Performance Attribution During Q1 2006

Appendix 1 shows the key drivers of performance by position over Q1 2006. Once again both Deutsche Boerse and Euronext were strong performers for the Master Fund, producing a combined 66.8% of the gains during the quarter. During Q1 2006 Euronext appreciated 54.7% and Deutsche Boerse 37.5%. Approximately 1/3 of our assets remain invested in these two companies. Other major contributors during the quarter were:

- ❑ Link REIT (Hong Kong) contributed 8.5% of the gains for the quarter. It appreciated 14% during Q1 2006 and is now up well over 40% since our purchase in November 2005;
- ❑ Italian Banks (Banca Intesa and Banco Popolare di Verona) collectively contributed 7.4% of the gains for the quarter;
- ❑ Perusahaan Gas (Indonesia), contributed 6.0% of the gains for the quarter. The stock has now tripled since our purchase;
- ❑ Our unnamed Japanese utility contributed 4.6% of the gains for the quarter;
- ❑ Cemig (Brazil) contributed 3.8% of the gains for the quarter.

4. Portfolio Update

Deutsche Boerse and Euronext

Both companies continue to show extremely strong volume growth in both cash markets and derivatives, with average volume growth ranging from 30-40% year-on-year.

On March 30th the board of Deutsche Boerse issued a press release supporting a merger with Euronext and proposing concrete negotiations. During March, Germany's Chancellor Merkel and France's President Chirac declared the potential merger to be 'interesting.'

On April 3rd the TCI investment company through which we hold our Euronext stock formally requested a vote at the Euronext AGM in May on the principle of a merger with Deutsche Boerse. Euronext has formally agreed that this vote will take place.

TCI continues to believe this merger would create significant value for shareholders and will try to ensure that managerial and political considerations do not stand in the way of shareholder wealth creation.

Japanese Investments

During Q1 2006, the Master Fund increased its investments in Japan. Partly because of the recent breaches of our confidentiality agreements we have decided not to disclose the names of these positions. In one case it is a deep value long idea of an outstandingly high quality infrastructure company that trades at 5x leveraged free cashflow (on a maintenance capex basis). We have a clear idea as to how its value can be translated into the correct share price but this may take 1-2 years to materialise.

Our second significant position in Japan is a new holding this quarter. It is a hedged short idea which is currently 10% of NAV gross short and 5% of NAV net short. We are long 5% of NAV of a listed company which is the primary asset of this company as a hedge so that the short is effectively neutral to this asset. We consider the company to be a holding company trading at approximately a 40-50% premium to NAV, while it should be trading at a discount. This could be a volatile and loss making short position in the short-term but it is our belief that the fair value of the net short could easily be zero. The stock we are short is extremely liquid and we are short 1-2 days normal trading value. As always, the purpose of the short is a stand alone profit centre rather than for portfolio hedging purposes.

Altadis

The Master Fund fully exited Altadis during the quarter after the Spanish government unexpectedly introduced a very low minimum tax and substantially increased its *ad valorem* taxes on the company, cutting our fair valuation of the company.

Cemex

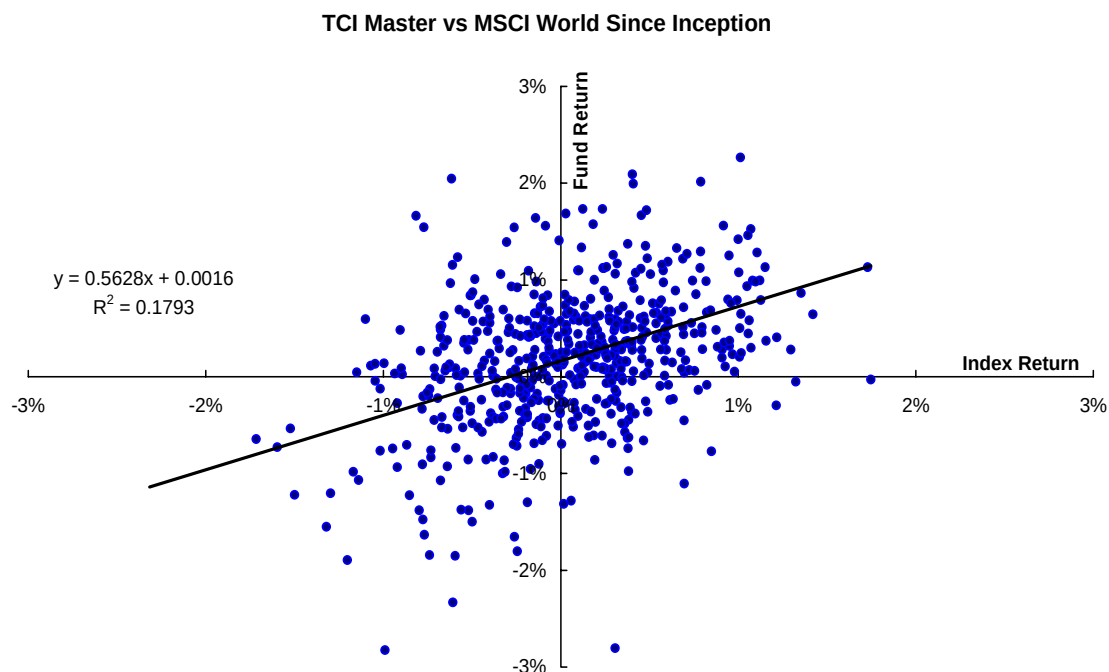
The position in Cemex was increased during the quarter after a positive meeting with senior management. The position now represents just over 5% of NAV. We think the company

trades on a double digit free cash flow yield and is growing at above GDP rates with world class management.

Chinese Estates

During the quarter TCI was invited to take an 8% stake in the listed Hong Kong property company 'Chinese Estates.' Today the position represents 3% of NAV. We believe the assets are first class retail properties and our entry price was at a 45% discount. The reputation TCI has been developing in Hong Kong for good corporate governance was a key reason for this invitation. We are working with management, who we think are excellent operators, to shrink the corporate governance discount. The stock has appreciated 30% since our investment.

5. Market Correlation in 2006



Sources: Citco Fund Services; TCI.

There has been no material change in our sensitivity to the MSCI World Index. Our Beta has remained low, currently 0.56, since inception. Our portfolio's correlation co-efficient (R) is 0.46.

6. Foreign Currency Exposure

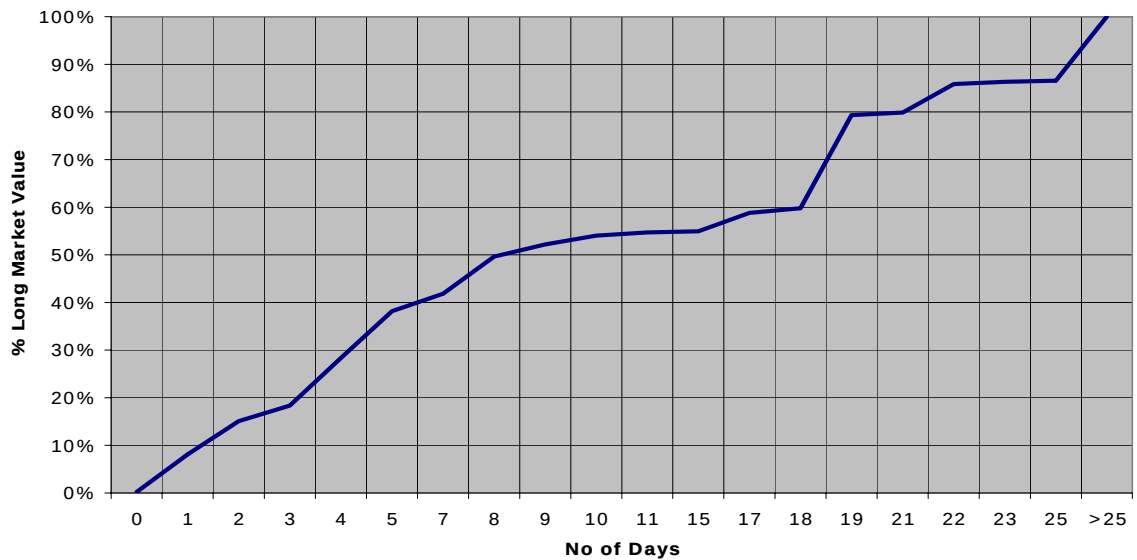
The Master Fund continued to hedge its material non-base currency exposures as a general rule. Some currency exposures were left unhedged and these are shown below with their quarter end net positions. Except for Brazil, the primary reason these currencies are not hedged is because we think either the currency is pegged to the USD (Malaysia) or the investments are in dollarised assets.

Summary of Unhedged Currency Exposures (% of NAV)	
Russia	-0.7%
Malaysia	0.4%
Mexico	5.6%
Indonesia	2.5%
Brazil	11.5%
China	1.3%
TOTAL	20.6%

Sources: Citco Fund Services; TCI.

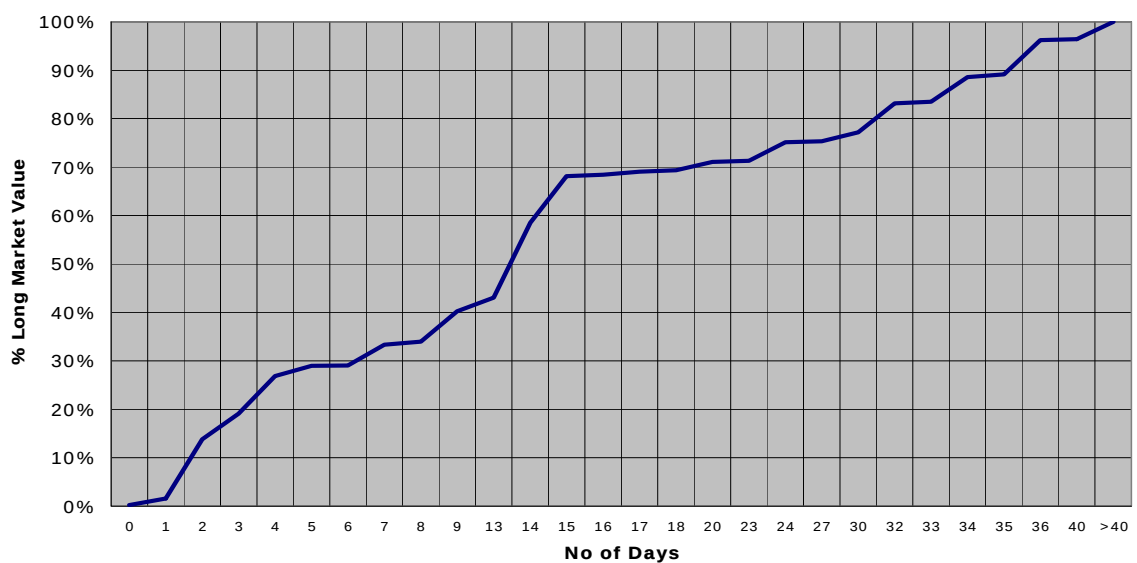
7. Liquidity Analysis

TCI Master Fund Liquidity Profile Q4 2005



Sources: Citco Fund Services; TCI. Notes: Analysis is based upon long positions only, including the long side of share class arbitrages.

TCI Master Fund Liquidity Profile Q1 2006

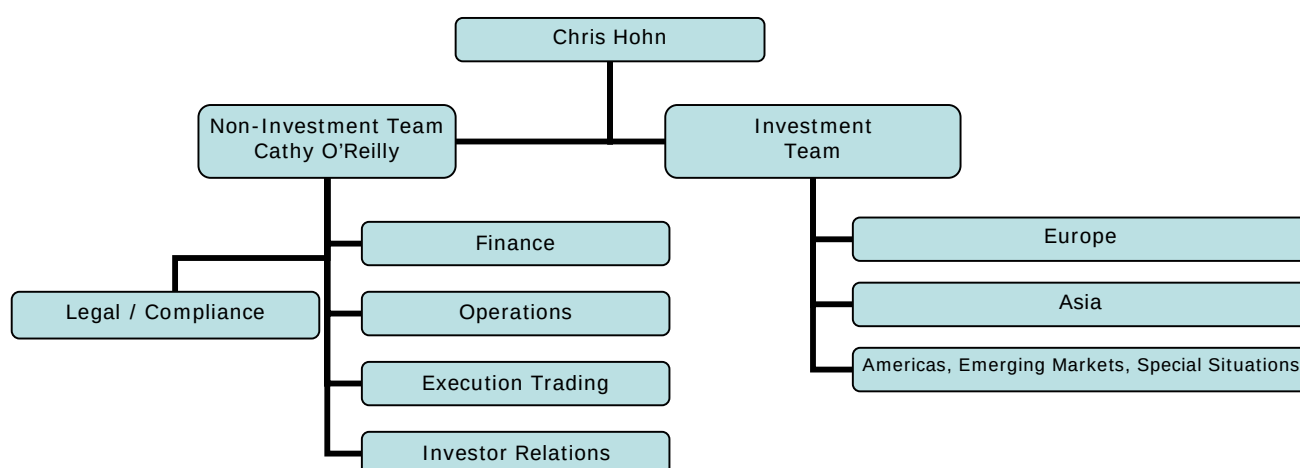


Sources: Citco Fund Services; TCI. Notes: Analysis is based upon long positions only, including the long side of share class arbitrages.

Liquidity has improved in the less than 15 days market volume range, from being 55% of the portfolio during Q4 2005 to just under 70% in Q1 2006. Although a greater % of the portfolio is attributed to stocks with greater than 24 days liquidity, we have 96% of the portfolio invested in stocks with 40 days volume or less.

8. The Firm

During the quarter, we continued to focus on building out both our investment and non-investment teams – as per the diagram below.



Source: TCI.

a. Investment Team

During the quarter we hired Alex Baring as an investment analyst. Alex will be working primarily with Stuart Powers. He joins us from Cazenove, where he headed up the German and Swiss mid-cap research team.

b. Non-Investment Team

The non-investment team is becoming increasingly specialised as we build out the four key pillars of: (1) Finance, (2) Operations, (3) Execution Trading, and (4) Investor Relations.

Finance: Tej Gujadhur, our CFO, is leaving us at the end of April for personal reasons and we would like to thank him for all his hard work and service to TCI and our affiliated funds. This has given us an opportunity to specialise some historic parts of the CFO role. First, Tej's legal and compliance responsibilities have been taken over by James Hawks our new Head of Legal. James joins us from Baker & McKenzie and he has over nine years of legal and tax experience. Second, we are centralising the audit and NAV review functions with the hire of Matthew King. Matthew joins us from Ernst and Young where he was an Audit Manager focused on investment fund audits. Tej's remaining responsibilities will be taken over by Cathy O'Reilly in the short- to medium-term.

Operations: After more than two years with TCI, Hayley Wilson has decided to take some time out. Robert Ottley, who joined us during the quarter from Gartmore, has taken on all of

her operational responsibilities. Hayley has worked hard for us during this time and we thank her for her contribution and wish her well with her future endeavours. The operations team has now expanded to a team of three, soon to be four, people, with an emphasis on expanding and enhancing our platform by automating and streamlining processes and cross coverage of our day-to-day activities.

Execution Trading: This team now consists of Kenny Graham and Tim Keough who are working well together since Tim's arrival this quarter.

Investor Relations: This fourth pillar is now a full-time role for Rahul Moodgal and we continue to work with our administrators Citco and HSBC to ensure we deliver excellent service to our investors.

c. The Children's Investment Fund Foundation (CIFF)

Another important hire made this quarter is that of Carolyn Aitchison – a new Vice-President of Operations and Finance for CIFF. Carolyn has high level experience in law and investment banking that we feel will be invaluable to her functions of maintaining all operational systems within CIFF related to the disbursement and management of funds to grantees.

9. Assets Under Management

At the beginning of March we decided to fully redeem the one separate account the firm has been running since December 2003. For client confidentiality reasons, we will not disclose the identity of the separate account holder or the reasons for the redemption. The Master Fund purchased all the assets at market price. It should be noted that no special treatment was given to this client. Whilst \$500m of new capital was taken to purchase the assets of this separate account, overall firm assets under management did not change. No net new capital has been employed since the end of November 2005. Today, with the redemption of the separate account and the return of the capital from the TCI Focus Fund, we only manage one fund – the TCI Master Fund.

10. Confidentiality Agreements

I would like to strongly remind all clients of the legally binding confidentiality agreements which they have signed. These agreements relate to the activities of our fund as well as our individual portfolio positions. We have been made aware of several breaches of these agreements recently. In one case our investor letter was emailed to a competitive hedge fund by a large family office. We have been informed by the client that the individual concerned will be fired. Clients should understand that all these actions hurt their own investments and breach their fiduciary duties. TCI will not hesitate to take appropriate action against any breaches of these agreements in the interests of all clients and the fund.

11. LP Committee

The LP Committee now consists of Steve Berger (Adamas), Alice Handy (Investure) and Marty Kelly (MIT). Rahul Moodgal would be happy to put you in contact with this committee should you wish to discuss any matters pertaining to the fund with them.

12. Investor Day

Our investor day will take place at The Pierre Hotel in New York on June 13th. TCI and our affiliated funds will all be attending. Further details will be sent out shortly.

13. Eurohedge Awards

TCI was awarded 'Best Event Driven Fund' and, for the second year running, 'Overall Fund of the Year' in January at the 2006 Eurohedge Awards.

14. TCI Affiliated Funds

a. Algebris

We are very pleased to announce that we will be taking a small minority stake in and sponsoring a new long/short global financials fund. The fund will be called Algebris and is founded by Davide Serra and Eric Halet. The two founding partners have a combined 22 years experience in global financials. Davide spent five years at Morgan Stanley, where he was Global Head of Banks Research from 2004. At Morgan Stanley, he ran two long-only investment portfolios (Global and European banks), audited by Morgan Stanley and Mellon, delivering 15% alpha per annum. Davide has been rated amongst the top three best European banks analysts for the period 1999-2006.

Eric spent six years at Wellington where he was the Global Industry Analyst responsible for the coverage of international banks and was made Associate Partner in 2001. He was directly responsible for managing \$2.6bn of assets, as well as contributing to \$7.4bn managed by other portfolio managers in the sector. Algebris is expected to launch sometime in Q4 2006 and Rahul will contact you shortly with further information on the fund if it is of interest to you.

b. KDA Capital

KDA Capital, the European long only fund run by David Baverez and Krishnan Sadasivam, successfully launched on December 1st 2005. The fund is currently running approximately \$500m of assets and expects to soft close at \$1bn. In its first four months KDA has generated circa 18% net returns with strong market outperformance (see table below).

	€ Share Class	MSCI Europe €	Relative Outperf.	\$ Share Class	MSCI Europe \$	Relative Outperf.
Dec 2005	5.36%	3.47%	1.90%	5.64%	3.88%	1.76%
Jan 2006	5.77%	3.48%	2.29%	6.02%	3.46%	2.55%
Feb 2006	1.63%	1.93%	-0.30%	1.77%	2.02%	-0.25%
Mar 2006	3.76%	2.35%	1.42%	4.17%	3.49%	0.68%
Inception	17.53%	11.70%	5.82%	18.72%	13.47%	5.25%

Sources: Citco Fund Services; KDA Capital; MSCI. Notes: Performance is net of fees. Inception Dec 1, 2005.

c. TCI New Horizon

TCI New Horizon, the India long only fund run by Madhav Bhatkuly, took the second tranche of its original committed capital. The fund has achieved performance of 7.5% since inception in October 2005 and is currently closed but maintains a wait list.

d. Parvus

Parvus, the European small cap manager, headed by Edoardo Mercadante, has had a great start to 2006. During Q1 2006, its long/short master fund (PEA) was up 18% net while its long only master fund (PEL) was up 16% net. The firm was also awarded 'Best New Launch – Equity Strategies' at the 2006 Eurohedge Awards for the Parvus European Opportunities Absolute Return Fund. The firm is currently running \$1.1bn and is closed to new assets but maintains a wait list.

For information on the products and services of TCI and its affiliated funds please contact Rahul Moodgal at rahul@tcifund.com or on +44 20 7440 2384.

We thank you for your continued support of TCI.

Christopher Hohn
Managing Partner

The Children's Investment Fund (UK) LLP
April 6th 2006

Appendix 1

Top Positions at Quarter End and their Q1 2006 Trading Gains

	% of Master Fund Net Assets	Country	Market Cap (\$bn)	% of Q1 Trading Gains	Trading Gains as % of End NAV
Outright					
Deutsche Boerse	22.7%	Germany	15	41.3%	5.9%
Euronext	10.7%	Euronext	9	25.5%	3.6%
Link REIT	10.3%	HK	5	8.5%	1.2%
Unnamed Japanese Utility	8.8%	Japan		4.6%	0.6%
Autostrade	8.4%	Italy	14	0.2%	0.0%
Pairs					
Altria	10.5%	USA	148	-3.8%	-0.5%
Kraft	-3.2%	USA	51	-1.1%	-0.2%
Unnamed Japanese Long	5.6%	Japan	>30	0.9%	0.1%
Unnamed Japanese Short	-11.2%	Japan	>30	-2.4%	-0.3%
Gazprom	6.4%	Russia	203	6.2%	0.9%
Gazprom ADR	-7.1%	Russia	223	-7.6%	-1.1%
	61.9%			72.3%	10.2%

Sources: Citco Fund Services; TCI.

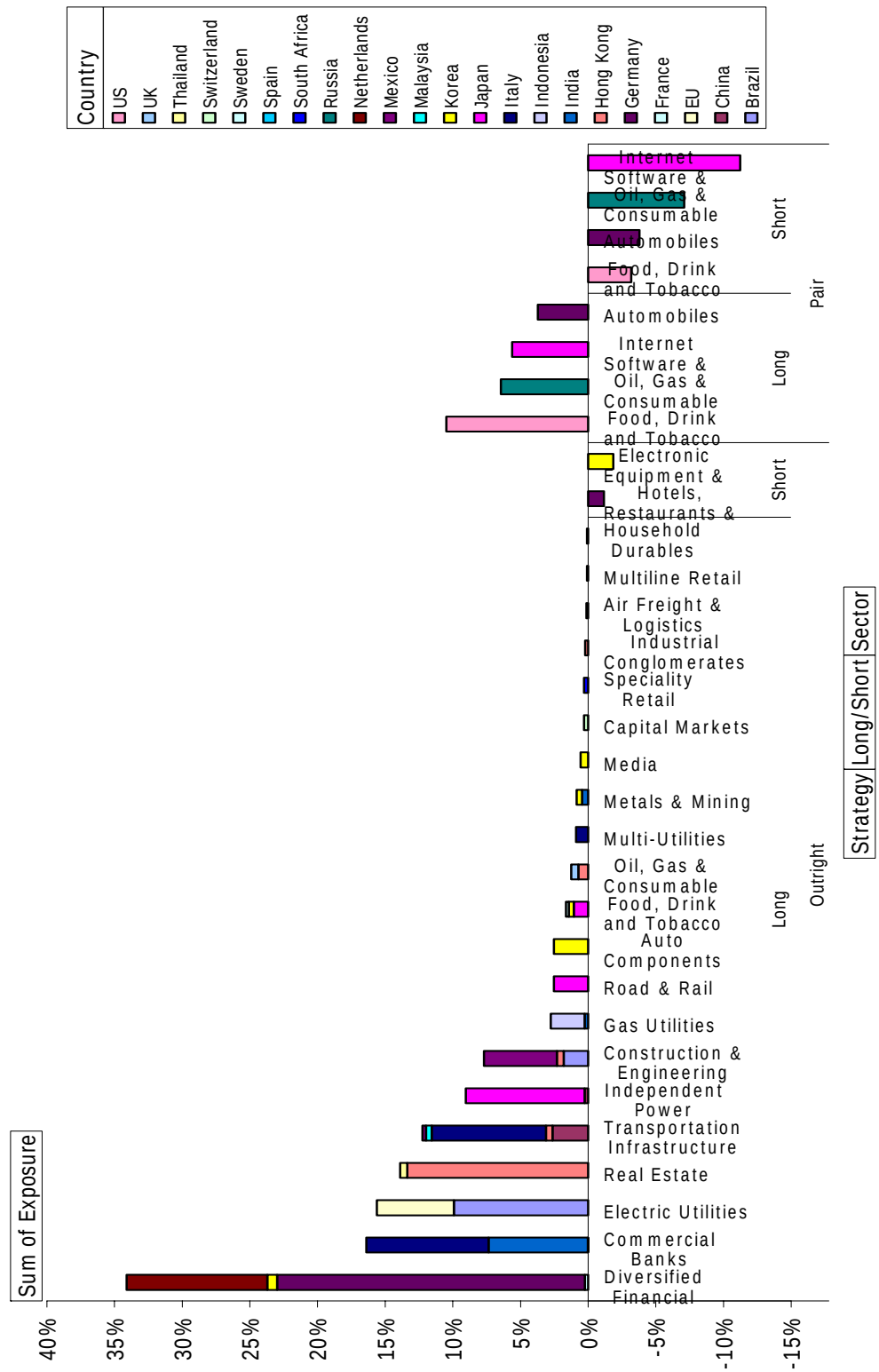
Position Contributing Most to P&L in Q1 2006

Biggest Winners	Strategy	% of Q1 2006 Trading Gains
Deutsche Boerse	Long	41.3%
Euronext	Long	25.5%
Link REIT	Long	8.5%
Perusahaan Gas	Long	6.0%
Chinese Estates	Long	5.0%
Unnamed Japanese Utility	Long	4.6%
Banca Intesa	Long	4.0%
Cemig	Long	3.8%
Banco Popolare di Verona	Long	3.4%
Cemex	Long	2.1%
Biggest Losers		
Altadis	Long	-3.6%
Oriental Bank Commerce	Long	-2.2%

Sources: Citco Fund Services; TCI.

Appendix 2 – Quarter End Sector and Country Exposure

TCI Master Fund End March 2006 Exposure



Sources: Citco Fund Services; TCI.

Appendix 3 – TCI Master Fund Performance Since Inception

Period	Master Fund Assets €m	Class A (3yr) \$	Class A (3Yr) €	Class B (5yr) \$	Class B (5Yr) €	Class C (5Yr) \$	Class C (5Yr) €	MSCI World (\$)
Jan 2004	374.8	+1.36%	+1.44%	+1.41%	+1.49%			+1.54%
Feb 2004	531.7	+5.08%	+5.09%	+5.26%	+5.27%			+1.55%
Mar 2004	553.6	+2.75%	+2.93%	+2.78%	+2.97%			-0.89%
Q1 2004		+9.44%	+9.73%	+9.71%	+10.01			+2.20%
Apr 2004	734.6	+3.70%	+3.88%	+3.77%	+3.92%			-2.22%
May 2004	872.1	+0.40%	+0.45%	+0.43%	+0.47%			+0.67%
Jun 2004	1,081.2	+2.82%	+2.86%	+2.90%	+2.93%			+1.91%
Q2 2004		+7.05%	+7.33%	+7.23%	+7.47%			+0.32%
Jul 2004	1,088.4	-0.24%	-0.20%	-0.24%	-0.20%			-3.34%
Aug 2004	1,113.9	+0.85%	+0.94%	+0.88%	+0.97%			+0.26%
Sep 2004	1,172.8	+4.86%	+4.90%	+5.00%	+5.05%			+1.77%
Q3 2004		+5.50%	+5.67%	+5.67%	+5.86%			-1.38%
Oct 2004	1,187.3	+2.35%	+2.34%	+2.41%	+2.41%			+2.37%
Nov 2004	1,434.6	+4.93%	+5.09%	+5.31%	+5.24%			+5.09%
Dec 2004	1,588.5	+6.94%	+6.86%	+7.13%	+7.05%			+3.73%
Q4 2004		+14.85%	+14.93%	+15.54%	+15.37%			+11.59%
2004		+41.95%	+43.04%	+43.65%	+44.39%			+12.84%
Jan 2005	1,960.4	+6.45%	+6.51%	+6.68%	+6.75%			-2.31%
Feb 2005	2,265.0	+3.80%	+3.83%	+3.90%	+3.99%			+3.01%
Mar 2005	2,274.7	-1.07%	-1.04%	-1.07%	-1.09%			-2.17%
Q1 2005		+9.32%	+9.44%	+9.65%	+9.80%			-1.55%
Apr 2005	2,502.1	-0.02%	-0.05%	-0.02%	-0.05%			-2.39%
May 2005	2,855.7	+3.46%	+3.46%	+3.59%	+3.59%			+1.52%
Jun 2005	3,270.9	+6.15%	+6.15%	+6.35%	+6.34%			+0.71%
Q2 2005		+9.80%	+9.77%	+10.14%	+10.10%			-0.21%
Jul 2005	3,624.3	+4.47%	+4.41%	+4.61%	+4.54%			+3.43%
Aug 2005	3,754.4	+2.03%	+1.88%	+2.08%	+1.94%			+0.56%
Sep 2005	4,055.2	+7.11%	+7.03%	+7.31%	+7.23%			+2.47%
Q3 2005		+14.17%	+13.86%	+14.59%	+14.27%			+6.57%
Oct 2005	4,049.8	-3.68%	-3.80%	-3.77%	-3.90%			-2.49%
Nov 2005	4,605.2	+5.06%	+5.06%	+5.20%	+5.19%			+3.14%
Dec 2005	5,420.5	+7.92%	+7.72%	+8.12%	+7.91%			+2.14%
Q4 2005		+9.21%	+8.86%	+9.45%	+9.08%			+2.73%
2005		+49.66%	+48.90%	+51.48%	+50.68%			+7.56%
Jan 2006	5,781.6	+6.38%	+6.10%	+6.61%	+6.32%			+4.41%
Feb 2006	6,012.4	+3.97%	+4.15%	+4.12%	+4.05%			-0.29%
Mar 2006	6,809.2	+3.14%	+2.96%	+3.25%	+3.08%	+3.14%	+3.25%	+1.96%
Q1 2006		+14.07%	+13.77%	+14.61%	+14.03%	+3.14%	+3.25%	+13.75%
Inception		+142.33%	+142.31%	+149.39%	+148.09%	+3.14%	+3.25%	+38.06%

Sources: Citco Fund Services; Bloomberg LP, TCI; Notes: January 1, 2004 inception except Class C (March 1, 2006).

TCI is The Children's Investment Fund Management (UK) LLP. Issued on behalf of The Children's Investment Master Fund by The Children's Investment Fund Management (UK) LLP. This report is prepared from sources we believe to be reliable. Some figures are estimates only and should be treated as such. The value of investments may go up or down and you may not get back your original investment. Past performance is not necessarily a guide to future performance. The strategy employed may result in the NAV exhibiting a high level of volatility and so is suitable for professional investors only. The Children's Investment Fund Management (UK) LLP is Authorised and Regulated by the Financial Services Authority.